

taken to rationalise expenditures, even as the fiscal deficit has reduced by ₹11,000 crore compared to last year, as per the monthly accounts of 2021-22.” The state is trying to boost its investments and revenues through the Rajasthan Investment Promotion Scheme. In a recently concluded summit in Jaipur, the government signed 4,192 MoUs and Letters of Intent (LoIs) involving investment commitment worth ₹10.44 lakh crore. Also, in a bid to reduce financial debt and attract investment, Rajasthan launched its first MSME Policy, which envisages setting up 20,000 new MSME units with a cumulative investment of ₹10,000 crore and employment generation for 100,000 people, a government official told *BT*.

Meanwhile, Chhattisgarh has received investments worth ₹84,000 crore in 1,950 industrial units in the past three and a half years under its new industrial policy. The state’s Chief Minister and Finance Minister Bhupesh Baghel tells *BT* that the government has introduced 21 amendments in the policy: “We have offered entrepreneurs special incentive packages, subsidies and a separate space to MSMEs. We have included a start-up package to inject new technology into industries and create more jobs. The state government is providing large-, mega-, and ultra-mega industries with full exemption in electricity duty on setting up industrial units in locations of any category. The state government has also reduced the land transfer fee and provided a single-window clearance facility.”

Chhattisgarh has also come up with its State Hydroelectric Project Establishment Policy 2022 to encourage investment for setting up pump storage-based hydro power projects. The state is also actively working on asset monetisation—this August, it invited bids for 24 state-owned motels and resorts that will be leased out for 30 years



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to private investors.

Haryana, another outlier state, has also taken steps to increase revenue. For instance, it recently unveiled an EV policy that intends to generate revenues and jobs. “This policy will make EVs affordable, and our coordinated efforts will make Haryana a global hub of manufacturing of EVs, major components of EVs and batteries,” says Haryana’s Deputy Chief Minister Dushyant Chautala. “We hope to accrue around ₹1,110 crore every year as an outcome of the EV industry’s growth in Haryana.”

Meanwhile, Kerala FM Balagopal says the state is planning a lot of new initiatives. “We are focussing more on higher education research, new institutions... we are making new products in the tourism sector like caravan tourism and farm tourism,” he says. Plus, this September, Kerala put out a draft industrial policy with focus on upgrading skills of youth for future jobs, and promoting industries and technologies of the fourth industrial revolution.

To steady Rajasthan’s finances, Gehlot says the scheduled end-date of GST compensation should be extended to 2027. “Revenue deficit grant should be continued for the next three years till FY25. And based on the actual calculation of revenue deficit, it should be made available in the coming year,” he says. State governments have also pitched for bringing additional excise duty, cess and surcharges—currently not part of the divisible tax pool—to be included in the pool.

Rajeev Kumar, former vice chairman of Niti Aayog, believes it’s time to create a fiscal council to develop a consensus between the Centre and the states: “It’s time to create a dialogue between the states and the Centre to ensure that the overall fiscal situation in the country does not go out of our hands.” **BT**

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